CSIS | KOREA DAILY BRIEF

Wednesday, October 28, 2026 No. 217 11 min read

TODAY AT A GLANCE

1. ROK Defense Minister Kang met US SecDef Hegseth in the Philippines, agreeing to hold the Security Consultative Meeting in early 2027.
2. Bank of Korea held its base rate at 2.50% after back-to-back hikes, with markets watching November's decision.
3. Multiple Korean financial firms including Bithumb reported simultaneous data breaches; North Korean IP addresses attempted 4.4 million scans on October 21.

KOSPI	USD/KRW	BRENT	LEE APPROVAL	KIM LAST SEEN	BOK RATE
6,012.44	1,338.38	$111.07	39%	Oct 25	2.50%
+6.6%	+1.0%	−2.5%	+2 pts Oct 13-15	3 days ago	Oct 2026

01 | TOP STORIES

Yonhap, US-Korea

Seoul and Washington agree to postpone Security Consultative Meeting to early 2027

South Korea and the United States agreed at the margins of the ASEAN Defence Ministers' Meeting Plus in the Philippines to hold the 58th Security Consultative Meeting (SCM) in early 2027 rather than in 2026. ROK Defense Minister **Kang Shin-chul** and US Secretary of Defense **Pete Hegseth** held their first face-to-face bilateral meeting at the ADMM-Plus gathering in Cebu. The two ministers agreed that wartime operational control (OPCON) transfer should proceed on schedule and pledged to cooperate for a smooth handover, with a separate bilateral defense ministerial set for Washington next month.

Dong-A Ilbo / Yonhap / Reuters, Technology

North Korean IPs attempt 4.4 million scans on Korean financial sector; breaches confirmed at Bithumb, securities firms

The Financial Security Institute alerted South Korean financial companies on October 21 that more than *4.4 million* probe-type access attempts originating from North Korean IP ranges had been detected in a single morning.

Separately confirmed breaches hit Daishin Securities, crypto exchange Bithumb, and Mirae Asset Management, extending a wave that began earlier in October at commercial banks. The Presidential Office's National Security Council convened an emergency response meeting, calling for strengthened security and prevention of secondary damage.

WSJ, ROK Economy

Bank of Korea holds rate steady at 2.50% after back-to-back hikes

The Bank of Korea kept its base rate at *2.50%* at its October meeting, pausing after consecutive hikes as policymakers weigh the KOSPI surge past 6,000 against slowing consumer spending.

Korean financial media reported divergent assessments from the central bank and securities analysts over whether the rally reflects sustainable fundamentals or speculative pressure. The November decision will be watched for signals on the rate path given export-driven growth of 1.0% in Q3 2026.

02 | OVERNIGHT

Financial Times, ROK Politics

FT: European allies alarmed by South Korea's perceived tilt toward Russia

Analysts cited by the FT say Lee Jae-myung's government is prioritizing relations with Moscow amid strained ties with Ukraine.

Newsis, Japan-Korea

ROK and Japan defense ministers meet at ADMM-Plus; Kang briefs Koizumi on DMZ mine blast

Kang briefed Japan Defense Minister Koizumi Shinjiro on the September DMZ landmine incident and reaffirmed trilateral security cooperation against North Korea's nuclear and missile threats.

NK, DPRK

North Korea uses September DMZ landmine blast to intensify student military drills

Pyongyang is exploiting the September DMZ landmine explosion as a propaganda tool to step up military training among students.

Yonhap, ROK Politics

PPP slams defense minister over remarks on trusting US forces in event of war with North Korea

PPP criticized the defense minister's comments on reliance on US forces during a wartime scenario.

Yonhap, ROK Economy

South Korean births up 13% in August, highest monthly total in 7 years

The fertility rate for August was 0.87, with births rising for a 26th consecutive month.

Saudi Gazette, NK-Russia-China

Kim Jong Un visits China, vows to strengthen ties 'forged in blood'

Coverage of Kim's October 24 Dandong visit continued to circulate globally, with Kim quoted invoking the 'blood alliance' framing around the Korean War anniversary.

Nikkei, DPRK

North Korea places self-propelled artillery near the DMZ

Nikkei reports North Korea has forward-deployed self-propelled guns along the demilitarized zone.

Arab News, ROK Economy

Iran threatens legal action against Sinokor vessels; South Korean shipowners deny connection

Iran said vessels linked to South Korean shipper Sinokor face legal action over Hormuz transits; the South Korean shipowners denied any link.

03 | STAT OF THE DAY

4.4M

North Korean IP scan attempts on Korean financial sector, Oct 21

The Financial Security Institute alerted financial firms on October 21 that more than 4.4 million probe-type access attempts from North Korean IP ranges were detected in a single morning, coinciding with a wave of confirmed breaches at securities firms, Bithumb, and an asset manager.

Dong-A Ilbo

04 | PYONGYANG WATCH

Kim Jong Un

No public appearance today, last seen 3 days ago

No KCNA watch flag. 4 provocations logged in the last 7 days.

TOP KCNA ARTICLES

Yonhap News Agency, Kim Jong Un

Kim Jong Un calls for combat readiness at photo session with KPA company commanders

KCNA reported Kim Jong Un had a photo session with participants in the Third Conference of Company Commanders of the Korean People's Army and urged intensified training and combat readiness.

SENIOR OFFICIALS

Yun Jong Ho, External Economic Relations Minister

Opened the 18th Pyongyang International Autumn Trade Fair on Monday, per state media.

> **Bottom line:** State media led with Kim's combat readiness call to company commanders and the trade fair opening, while diplomatic messaging continued with a Kim-Vietnam reply letter, no new provocation or test activity reported.

05 | ROK GOVERNMENT

President and ministries, Wednesday, October 28, 2026

MINISTRY OF NATIONAL DEFENSE

Minister Kang Shin-chul

First bilateral meeting with US SecDef Hegseth; SCM deferred to early 2027

Minister Kang met Secretary Hegseth on the margins of the 13th ASEAN Defence Ministers' Meeting Plus in the Philippines on October 28, their first face-to-face bilateral session. The two agreed to hold the 58th Security Consultative Meeting (SCM) in early 2027 and to cooperate for an on-schedule and smooth OPCON transfer.

Primary **korea.kr**
Reported Yonhap

MINISTRY OF FOREIGN AFFAIRS

Jeong Eui-hye (Vice Minister for Economic Affairs)

14th Korea-Mekong Business Forum convened in Bangkok on AI cooperation

MOFA co-hosted the 14th Korea-Mekong Business Forum in Bangkok with the Thai Foreign Ministry on October 28, focused on AI-based innovation for Korea-Mekong economic cooperation. More than 100 government, institutional and corporate representatives from South Korea and the five Mekong countries attended.

Primary **Foreign Ministry**

MINISTRY OF UNIFICATION

Minister Chung Dong-young

Launches 'Peace Relay Running Challenge' virtual marathon; Global Korea Forum Japan seminar announced for Oct 29

The Unification Ministry announced a four-week virtual marathon event running October 29 to November 25 themed around inter-Korean peace, using historically symbolic distances such as 4.27km and 6.15km. Separately, the 2026 Global Korea Forum Japan seminar is scheduled for October 29 at the University of Tokyo's Sanjo conference hall, co-hosted with the Korea Institute for National Unification and the University of Tokyo Korean Studies Center.

Primary **Unification Ministry**

PRESIDENTIAL OFFICE

National Security Council

NSC convenes emergency meeting on financial sector cyberattacks; calls for security reinforcement

The Presidential Office's National Security Council held an emergency response meeting following simultaneous cyberattacks on South Korean financial firms, calling for strengthened security measures and prevention of secondary damage to affected companies and customers.

Yonhap

PERSONNEL CHANGES

Jeong Yeon-guk APPOINTED

Cheong Wa Dae Spokesperson

The Presidential Office appointed Jeong Yeon-guk, a former MBC broadcast journalist, as Cheong Wa Dae spokesperson, per JTBC reporting. The appointment continues a pattern of selecting current journalists for presidential communications roles.

NATIONAL ASSEMBLY

Chair Jin Seong-jun denied US visa; opposition and coalition parties express 'strong regret'

National Assembly National Defense Committee

National Assembly National Defense Committee Chair Jin Seong-jun (Democratic Party) was denied a US visa for a planned bipartisan visit, following a prior visa delay for Democratic Party Rep. Jeong Cheong-rae. The Justice Party leader and other Assembly members called on Washington to resolve the issue and on MOFA to lodge a formal protest.

06 | US-KOREA TRADE & INVESTMENT

TARIFF STATUS

Autos and parts Section 232	**15%** Reduced
Steel and aluminum Section 232	**50%** Active
Reciprocal tariff 10% surcharge (Section 122), expired Jul 24 2026	**Expired**
Section 301 USTR, Section 301 determination, pending, no fixed date	**Active**

6 more sector rates on the trade reference page; no rate changed since the last issue.

Steel and aluminum remain at 50% and autos at 15%, both under Section 232. The Section 122 surcharge expired July 24, so there is no single baseline reciprocal tariff. Section 301 is now the likely vehicle for any new measure.

INVESTMENT PLEDGE, $350B

$350B pledged; 1 project selected so far, led by Encinal gas-fired power plant, Texas ($22.3B).

$150B shipbuilding (MASGA), $200B strategic sectors, $100B energy purchases; no official Strategic Investment Corporation drawdown figure reported to date.

07 CAPITOL HILL

Asia Economy, Hearing

ROK National Assembly Foreign Affairs Committee audit: lawmakers clash over alliance turbulence, landmine replica introduced

ROK National Assembly foreign affairs committee members clashed over what one side called 'turbulence' in the South Korea-US alliance, with a replica of the North Korean landmine device introduced as an exhibit during the session. The debate touched on diverging interpretations of North Korea's intent behind the September DMZ blast.

08 KOREA AND THE WORLD

Kyiv Post, Ukraine, Diplomacy

South Korea pulls eight diplomats from Ukraine over North Korean prisoner-of-war dispute

Seoul withdrew eight diplomatic personnel from Ukraine, Foreign Minister Cho Hyun confirmed, amid a dispute over North Korean prisoners of war captured in the Russia-Ukraine conflict. The diplomatic recall marks a significant cooling in the Seoul-Kyiv relationship.

Chosunbiz, Multilateral, Nuclear & energy

IAEA convenes first nuclear energy ministerial conference in South Korea; Seoul pushes SMR export agenda

The IAEA held its first-ever Ministerial Conference on Nuclear Power in South Korea, with Deputy Prime Minister Bae Kyunghoon delivering the keynote. Seoul used the platform to position itself as a global hub for nuclear power production under the 'K-Nuclear' brand, targeting small modular reactor exports.

BusinessLine, South Asia, Trade

India holds shipbuilding cooperation talks in South Korea

Indian officials held talks in South Korea focused on boosting India's shipbuilding sector through cooperation with Korean yards, according to BusinessLine. The discussions coincide with India's stated ambition to develop its own naval and commercial shipbuilding capacity.

09 BUSINESS & ECONOMY

Korea Times

HD Hyundai Q3 net profit +40% to 1.38 trillion won; nine-month operating profit nears 10 trillion won

HD Korea Shipbuilding and Offshore Engineering, the group's shipbuilding subholding, posted sales of 8.28 trillion won, up 9.3%. Hanwha Defense USA's internal restructuring will give it control of Philly Shipyard, a deal separately announced today.

HD Hyundai | HD Korea Shipbuilding & Offshore Engineering

Chosun Ilbo

SK Hynix posts record quarterly profit of 60 trillion won, announces shareholder returns

The record profit is driven by HBM demand from AI customers, coming one day after Q3 GDP showed South Korea's chip exports propelled 1.0% quarterly growth. The shareholder return announcement underlines confidence in sustained HBM pricing.

SK Hynix

Yonhap News Agency

Hanwha Defense USA to take control of Philly Shipyard in internal restructuring

Hanwha Defense USA will assume control of Philly Shipyard through an internal group restructuring, per Yonhap. The move consolidates the Hanwha Ocean–Philly Shipyard partnership announced in October 2025 under a US-domiciled entity.

Hanwha Defense USA | Philly Shipyard

Bloomberg

Korean financial firms hit by escalating hacks as Asia cyber breaches grow

Bloomberg reports a broader surge in financial-sector cyberattacks across Asia, with South Korean firms among the hardest hit. The simultaneous breach of a securities firm, crypto exchange, and asset manager in a single week has put Seoul's financial cybersecurity posture under scrutiny.

Bithumb | Daishin Securities | Mirae Asset Management

Reuters

Reuters Breakingviews: Seoul's worst China tech fears are materializing

A Reuters Breakingviews commentary argues that Chinese technology competition, particularly in advanced memory, is now translating into direct commercial pressure on Korean chipmakers. The piece cites China's CXMT pushing toward HBM3E production, with mass production potentially as early as 2028.

Samsung Electronics | SK Hynix

10 UPCOMING

OCT 29

Korea-Mekong Business Forum Japan seminar, Tokyo University

The Unification Ministry's 2026 Global Korea Forum Japan seminar convenes at the University of Tokyo's Sanjo conference hall, focused on Korean Peninsula peace coexistence and ROK-Japan cooperation.

OCT 29

Korean PM's 'Korea Grand Festival' consumer campaign opens

Prime Minister Han Seong-sook's 18-day national consumer festival launches October 29, running to November 15, with discounts up to 50% on beef, seafood and electronics, a government domestic demand-stimulus measure.

NOV 1

ROK-US bilateral defense ministerial, Washington

ROK Defense Minister Kang Shin-chul and US Secretary Hegseth agreed at the ADMM-Plus meeting to hold a separate bilateral defense ministerial in Washington next month; no precise date given beyond 'next month'.

11 ANALYSIS

OFFICIALS ON X

ROK Ministry of National Defense (@ROK_MND), Primary, October 28

"Minister Kang Shin-chul held his first face-to-face meeting with US Secretary Hegseth at the 13th ADMM-Plus in the Philippines on October 28. Minister Kang emphasized the alliance's role as a cornerstone of regional peace over the past 70 years, and the two agreed to cooperate for a timely and smooth OPCON transfer and to successfully hold the historic 58th SCM."

The ADMM-Plus meeting provided the first bilateral platform for the new ROK defense minister and US SecDef; the SCM postponement to early 2027 was agreed at the same session. **View on X**

US Embassy Seoul (@USEmbassySeoul), October 28

"US Air Force Chief of Staff Ken Wilsbach expressed gratitude to ROK Air Force Chief Son Seok-rak for hosting the Sacheon Air Show. The two air force chiefs held productive talks and signed a letter of intent to advance US-ROK cooperation in autonomous operating platforms, further strengthening the alliance and combined operational capabilities."

The LOI on autonomous platforms reflects the broader US-ROK push to integrate unmanned systems into combined operations, consistent with the ADMM-Plus discussions on AI and unmanned systems held the same day. **View on X**

Direct posts by tracked official accounts, attributed as posted. Not independently verified beyond the post.

STATEMENTS

Lee Jae-myung

"Whether you support the President or oppose him, all are sovereign citizens of the Republic of Korea. Good criticism is good criticism regardless of who makes it, and what needs to be corrected should be corrected."

The statement came alongside a presidential push ahead of the Itaewon fourth anniversary and the Basic Law on Life Safety, with Lee also receiving disaster and industrial accident victims at the Blue House on October 28. **Source**

COMMENTARY

Press Briefing: Previewing President Trump's Trip to Asia. CSIS previews President Trump's upcoming trip to Asia and its regional policy implications. (CSIS Center for Strategic and International Studies)

12 | PUBLIC SENTIMENT

Lee approval

39%

+2 pts vs Oct 6-8
Gallup Korea
October 13-15, 2026

Trend: Down from 42% on Aug 25-27, across 6 readings.

Ruling	Opposition	Independents
Democratic	People Power	
36%	27%	29%

Gallup Korea publishes weekly; this reading is 1 week old (October 13-15, 2026).

Discourse: Supreme Court extended former First Lady Kim Keon-hee's detention by two months; the ruling Democratic Party called it 'the inevitable result of justice' and demanded the Supreme Court set a sentencing date for former President Yoon Suk Yeol's trial, generating significant political discourse on October 28.

13 | THE WIRE

DPRK

NK News

North Korea's 18th Pyongyang Autumn Trade Fair opens with Asian goods, no foreign buyers present

External Economic Relations Minister Yun Jong Ho opened the 18th Pyongyang International Autumn Trade Fair on Monday; state media reported the following day. Goods from across Asia were displayed, including a new foldable smartphone, but few if any foreign attendees participated.

ROK ECONOMY

AP

South Korea fines Google and Apple over unfair app market practices

South Korea's regulator fined Google and Apple for unfair app market practices, according to AP. The action follows prior ROK enforcement actions against the two companies on in-app payment policies.

NK-RUSSIA-CHINA

38 North

38 North: War memorialization legitimizes Russia-DPRK alliance and bolsters Kim Jong Un's domestic standing

A new 38 North analysis by Nika Pasko argues that joint Korean War commemorations, including the opening of the first Tumen River road bridge in September, serve dual purposes: reinforcing the Russia-DPRK alliance narrative and strengthening Kim Jong Un's legitimacy at home. The piece connects memorial diplomacy to the broader pattern of military-political cooperation since 2022.

US-KOREA

NK News

Former USFK commander says post-OPCON combined command structure could be 'suboptimal'

A former USFK commander said at an online symposium that the combined command structure after wartime operational control transfer could be 'suboptimal,' citing cultural issues in the ROK military that need to be addressed before Seoul can take on greater responsibility. The remarks come the same day Seoul and Washington agreed to postpone the 58th Security Consultative Meeting to early 2027.

14 | SATELLITE & LOCATION WATCH

Elevated or alert, 2 of 11 sites: Yongbyon Nuclear Complex; Sohae Satellite Launch Station.

No new reporting on any of the 11 monitored sites since the last issue.

That's today's brief. No. 217

TOMORROW

Korea-Mekong Business Forum Japan seminar, Tokyo University

Korean PM's 'Korea Grand Festival' consumer campaign opens

Feedback and tips are welcome. Write to **alim@csis.org**.

CSIS | GEOPOLITICS AND FOREIGN POLICY DEPARTMENT | KOREA CHAIR

This newsletter is automatically generated, so it may contain errors. Please check all information and sources before citing. To report errors or other issues, please contact Andy Lim at alim@csis.org.

You are receiving the Korea Daily Brief as a member of the CSIS Korea Chair distribution list.

© 2026 Center for Strategic and International Studies No. 217 generated 7:14 AM ET